

Karmayogi Institute of Technology (Poly), Shelve

Department of Computer Technology

Micro-Project Report

Name of Subject: EDE

Subject Code: 22032



Guided by

Mr. Yevankar S.A.

Presented By:

1. Lokare Sujata Sharad [CM304]

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Project Title: Business Plan for Food Processing Industry.

Importance of the project:

Food processing has certain objectives, such as boosting the shelf life of food products, preventing food-contamination, aiding in food storage and transportation, turning raw food materials into attractive, marketable products, and providing employment to a large population

Food processing is the conversion of raw food ingredients into consumable food through various physical and chemical processes. It includes activities like grinding, cooking, canning, liquefaction, pickling, macerating, and emulsification.

The process takes freshly harvested crops or butchered animal products and turns them into appealing, sellable, and often long-lasting food products. However, it's crucial to note that food processing can sometimes reduce the food's nutritional value and may involve additives that could have negative health impacts.

It adds value to raw produce, reduces wastage, and generates employment. Crucial for economic growth, it boosts farmers' income, ensures food security, and positions India as a global player in the agri-business arena. Scope and significance of the food processing industry in India.

Links preferred:

<https://testbook.com/biology/food-processing>

<https://examine.com/research-feed/study/dpe2X1>

<https://portal.abuad.edu.ng/Assignments/1590153958Business Plan for Food Process Company -GST 212 @- Morphy Enebeli MO.pdf>

<https://www.scribd.com/document/695077128/Food-Processing-Business-Plan>

Projects Details:

Block diagram (s):

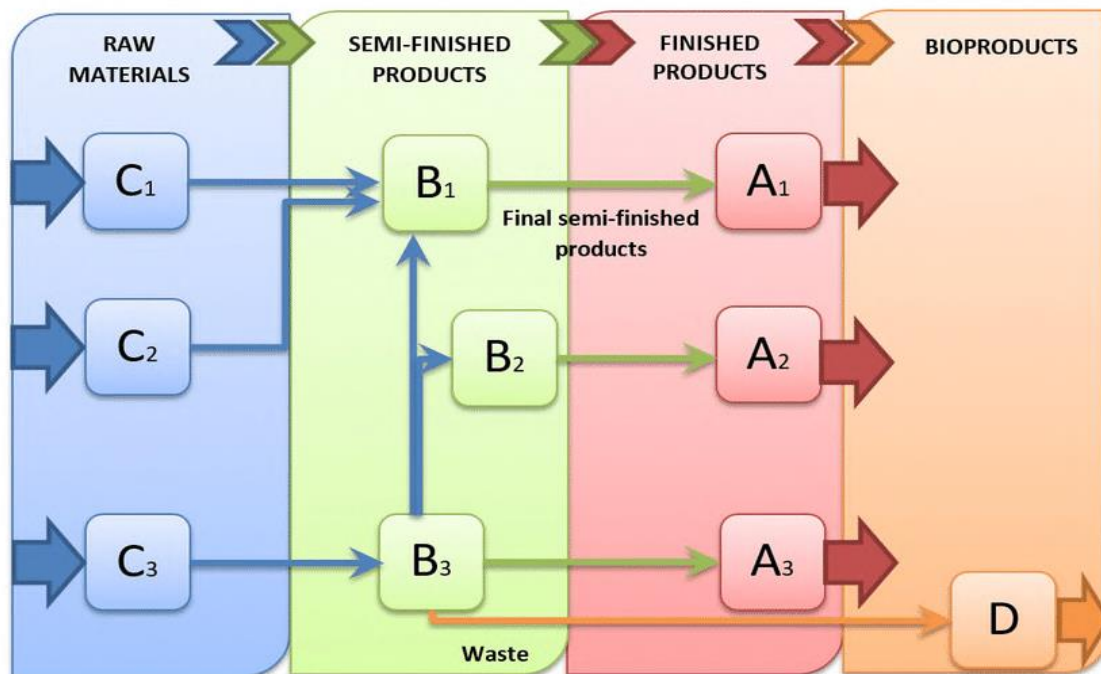


Fig.Block Diagram Of Food Processing Industry...

Actual Methodology Followed:

Bussiness Plan Contents:

Table of Contents

- Executive Summary
- Company Overview
- Objectives
- Risk Analysis
- Product or Service description
- Industry and Market Analysis
- Marketing Strategy
- Operational plans
- Financial Projections Management
- Plan Summary of Financials

Executive Summary

Name of the enterprise is Eryie Foods Processing Company, with interest in food chain business, focusing on food production and food spices, made from locally sources Nigerian and African spices, to be located in Abuja, FCT. Business activity involves making and distribution of finished food products, both eat-in, outdoor catering and home and office deliveries, and locally sourced and produced spices. Financial implication is N8,591,121.10 as initial capital. N2,435,671.55 will be used to smoothen the existing operation activities; N1,338,00 will be used to purchase stock and N4,817,449.55 will serve as the operating cost for six months. The business shall be financed by owners' equity of N2,577,336.33 which amounts to 20% of the capital investment while loan of N6,013,784.77 will be sourced from the financial institutions, and will be paid over a period of 5 years with a negotiated single digit interest of 09%, with a moratorium of 12 months.

Company Overview:

Mission Statement:

The mission of the enterprise is to fill the gap in the most sought-after food business in an ever busy city like Abuja, and its environs, while the spices produced will be distributed in the FCT and beyond, at an affordable but competitive price. We will leverage on the ready market for natural food produce, with health benefits.

History and Current Status

The business has been in existence for about a year but operating from home as home prepared and office drop off food or on request. However, given that the demands has become huge, we have decided to have a dedicated kitchen for the business, while engaging more hands in the preparation and distribution, so the need for a business plan, to source for funds to expand the business. We have acquired the site and set up the structure for the commencement of the business. We have acquired the necessary knowledge and expertise needed for the smooth operation of the business, but the financing of the business to a complete state where we can start large scale production is the challenge. c. Markets and Products Food processing is a great business idea as an increasing number of people are getting busier, working late and over weekends, and would also want to eat healthy and incorporating all the essential nutrients into their daily meals at affordable cost. Food processing business has several advantages, both for the business owners and the customers, such as-

- Customers get access to freshly prepared food using organic ingredients sought from the local market and hygienically obtained following standard processing procedures.
- The prices of the products are reasonable thus making it possible for greater number of customers to purchase the food, which in turn increases the market reach for the business owners.
- Business owners on the other hand also benefit from raising creating its own branded spices, from spices sought from the local market.
- Also, the rate of return in the food business is quite good as the products are sold at a good rate and there is a continuous demand for the products.

Objectives

Our objective is to achieve good quality produce, without compromising the standards. We also aim to achieve a total turnover of N9,799.941, a gross profit of N2,654,174 and a profit after tax of N1,158,657 by the close of our second year of operation, having successfully served approximately 3000 demands for food in close to one year of operating from the home kitchen. There will be constant supply from identified farms so it will be a farm to table food products, with no additives, paying attention to every health need of individual customers.

▪ **SWOT Analysis:-**

▪ **Strength:**

No branded bakery food product which sells exclusively Cake and Pastry. It provides variety of cake, Baked products, Bread etc formed by different Flavour which gives the customer an Indian taste plus nutritive products.

▪ **Weakness:**

There is a risk in starting this business because it will be first of its kind.

▪ **Threats**

There is no direct competitor as such but we can consider local player of the particular area as our competitors because they are selling same product with low cost. If talk about International player like star bucks and other local players like café coffee day, barista etc..

▪ **Opportunity**

There is a large customer base, as India is having maximum number of vegetarian peoples. Indians spend around 51% of their personal expenditure on their eating habit.

RISK ANALYSIS

The risk that may be associated with the business are the following:

- Disease outbreak,
- Fire outbreak,
- Theft/pilfering
- Climate

Mitigation of Risk:

The risks shall be mitigated by taking the following steps

- Regular medical check for staff
- Regular fumigation of the business place and deep cleaning of cooking equipment
- Regular invitation of health and hygiene inspectors to check the premises and give health talk to the staff
- Install fire extinguishers at strategic points in the premises
- Train workers on fire safety measure with regular refreshers
- Take necessary measures, within our powers to mitigate any unforeseen risk, except for force majeure
- Pay workers well and regularly to prevent massive pilfering of produce
- Ensure use of clinically approved hygiene kits by staff

Product or Service description:

. Description of Products

Eryie Food processing have developed several recipes for different kinds of locally prepared meals, eaten in Nigerian homes, using locally sources spices and creating its unique mix and flavors. They include jollof rice, groundnut soup, sesame seed (Beneseed) soup, Stew, egusi soup, moi-moi, locally spiced and cooked, fried or grilled protein of any type, porridge or plain cooked yam with sources, etc. In addition, Eryie Food processing shall produce spices from locally sourced spices from the market and creating its unique mix that can be

used for different kinds of Nigerian food, depending on choice of tastes and flavor. We have produced these spices in medium quantity, and it has sold out the instant it come out into the market. The estimated shelve life for the spices is 2 years stored in a dry cool place. Eryie intends to market these products in its dry form, sealed and well preserved in a 250g packed containers or on package requirement from customers.

Industry and Market Analysis

a. Industry analysis

Food processing is a business which is critical to the economy. It is a vibrant business and huge patronage nationwide. It has developed from the very rustic level to technology driven, where food processing can use technology to monitor how the right temperature of preservation and preventing bacteria, from growing in the food. Records have it that food processing and sales contributes over 1.6 trillion Naira to the Nigerian's GDP. Food processing aids the agricultural economy, which accounts for about 30% of the GDP.

b. Customer analysis

There are several food processing businesses in Nigeria and particularly the FCT, but not so many of them are involved in making and selling local dishes sourced from the diverse tradition and culture of Nigeria, from the North to the South, East and West. Besides the ready to eat food that we shall produce, letting customers have food away from home and still savour the home-made food, we shall be involved in home deliveries, both in small and large scale. This will save the ever-busy executives and workers the time spent in the kitchen, trying to fix food after a hard day's work. Our mixed spices are unique, bringing in the mix of spices that can be used in homes for variety of food which is not readily in the market. It will save the customer the time and energy of trying to think out which spices to put together to achieve that great taste to the food. Additionally, most spices are imported and packed with some preservatives that may not be healthy when consumed. Eryie spices is 100% natural and home grown. The pricing as well shall be our strong point. While we strive for good quality and quantity for price, we also take into consideration our variety of customers and their earnings. The prices shall be competitive without compromising quality. We shall conduct a customer survey, using questionnaires and sampling of opinions. This will give us an idea of the customer needs and expectations.

Competitor analysis

Factors	Chrit Ent.	Base Ent	GITs farms	Important
Product	Fast Food	Fast Food	Fast Food	Satisfies customer base
Price	Cost Based	Cost based	Cost based	Customer attraction
Quality	Good	Good	Excellent	Attracts customers
Location	Garki	Maitama	Asokoro	Easy to access
Weakness	Low production capacity	Variety of imported spices used for the preparations	Late delivery to customers	Meet consumption needs and deliver timely and in good condition

Marketing Strategy

a. Target Market Strategy

Our target market shall include:

- Hotels,
- Restaurants
- Market – both open and chain-stores
- Busy Executives
- Individual and collective families

The enterprise is located in Wuse 2/Maitama axis in FCT, but the produce will reach to all the areas within the Abuja Municipal Area and beyond on demand. Our target is that we will be carrying out both outdoor, eat-in and home deliveries and to be the most sought-after food vendor in the FCT.

Product/Service Strategy

The business as a policy will sell its products on cash basis. However, customers who order in large quantities will be considered for credit on their own merit, based on negotiated terms and conditions.

Pricing Strategy

We shall take into consideration the market pricing and adjust in such a way that we do not hurt the market and still make profit.

Distribution Strategy

We shall employ both wholesale and retail, home deliveries, eat-ins and outdoor catering. **For the Spices:** we shall engage distributors and open a sales outlet in areas that we have no distributors. We will also offer self-collection and direct delivery as the need arises. The products will be conveyed to target locations by dedicated personnel, where the order is large. For small deliveries, customers may walk in and take their deliveries or home delivered on agreed terms and conditions. We will however strive to make deliveries, easing the stress on our customers. This will give us leverage over our competitors.

For the food:

We shall engage in eat-ins, home and office deliveries and outdoor caterings.

Advertising and Promotion Strategy

We will leverage on the fact that there are many busy executives and workers in the FCT, with limited time to go out and have meals or cook meals at home. To capture the audience, we shall place adverts on both print and broadcast media, the social media and passing on leaflets as well as mouth to mouth passing of information on the services.

SN	Advert/promotional Strategy	Budget	Details of budget
1	Signage	10,000	Once
2	Handbills	50,000	Yearly
3	Complimentary Cards	6,000	Reprinted as need arise
4	Social Media		Use existing group on social media
5	Referrals		Commission paid on customer purchase and referral
	Total	N66,000	

Marketing and sales Forecasts

We forecast to sell at least 100,000 packs of the spices each week, delivering to hotels, restaurants, and individual traders. And to feed about 100 individuals each day

Operational plans

Operations Strategy

The food processing will start a purpose build kitchen, with a large hall for eat-ins. Attached to the kitchen and the hall, will be a large spaced room structure, to serve as the office space and another to serve as storeroom. The offices shall be equipped with computers and monitoring equipment to ensure the safety of the customers and employees.

Material Needs for Operations

Operating Equipment

SN	Equipment	Description/Uses	Key sources
1	Large cookers with multiple burners with ovens	For cooking	Open Market
2	5 large sized refrigerators	For preservation of food items	Open Market
3	Variety of food severing dishes	For serving food	Open Market
4	Cutleries/Plates		Open market
5	5 Micro-waves ovens	For heating up food when and where necessary	Open Market

Consumables needed operations

SN	Consumable materials	Description/Uses	Key sources
1	Raw food	For preparing variety of dishes	Suppliers - farmers
2	Cooking gas		Supplier
3	Other consumables		Open market

Financial Projections

The following pages include multi-year projections for income, cash flow, balance statement, as well as estimated financial ratios. These projections are for the spices as well as the food sales.

Stock/Item	Quantity	Unit Cost	Total
250g	2000	N300	N600,000
Special mix demand	2000	N350	N700,000
Food products (none Perishables)	To be determined		N320,000

Open Stocking: Spices

Pricing Strategy

We will adopt the cost-based price in the sale of our products. It will depend on the needs and order in relation to the cost of market products. However, the spices will be sold at a fixed cost as follows:

Items	Description	Proposed Selling Price (N)
Mixed spices	250g	300
Special order	Per g	100

Record/Stock Control Process

SN	Books kept	Reason
1	Sales	Record all transactions for the day
2	Receipt book	For accountability
3	Purchase book	Record of goods bought on credit sales
4	Cash book	Record of all cash transactions

Management Plan

Company Organization

Organizational chart

- Manager - Overall head of the factory, see to the daily management of the factory

- Factory Supervisor – Reports to the Manager on daily basis
- Sales Supervisor – Supervises the sales team and ensure that costumers are satisfied Accountant – Keeps the account and books.
- Attendants – Ensure that the customers are served on demand
- Cleaners –Engaged in ensuring that the premise is kept in neat and clean condition.

Management Team

Manager, supervisors and accountants

Administrative Expenses

Position	No of Staff	Monthly Salary	Annual Salary	Allowances
Manager	1	30,000	360,000	5% of monthly salary
Sales Supervisor	1	20,000	240,000	5% of monthly salary
Factory Supervisor	1	20,000	240,000	5% of monthly salary
Attendants	5	18,000	1,080,000	2% monthly salary
Other Staff	2	15,000	180,000	

Summary of Financials

Financial Assumptions

- Inflation: An assumption of 11.5% to the price of equipment and stock has been added to the financial plan, giving room for inflation and other unforeseen factors that may affect the cost of production
- Interest rate: An assumption of 0.9% would be made for the interest rate of loans to be obtained from the financial institutions, which is lower than the

commercial rate Insurance: 5% insurance per annum for the equipment has been projected

- Depreciation: An assumption of straight-line method has been used in calculating projecting of the depreciation
- Tax: 5% has been factored in as tax for the start-up business

Start-up Capital Estimate

Start-up Capital Estimate		
Activities	Period	Amount (N)
Pre-operating Expenses		2,435,671.55
Initial Stock		1,338,000.00
Initial Operating Expenses	6months	4,817,449.55
	Total	8,591,121.10

Sources of Funds

Sources%	%	Amount (N)
Personal Equity	30	2,577,336.33
Loan proceeds	70	6,013,784.77
Total	100	8,591,121.10

Advantages of a Food Processing:

Food processing offers several benefits, including:

1. Reducing the presence of harmful bacteria in food that can cause diseases. For example, drying and pickling dehydrate the food and alter its pH, preventing the growth of harmful microorganisms.
2. Improving the shelf-life of food products.
3. Reducing health inequalities and addressing major health concerns.

Disadvantages of a Food Processing :

Despite its benefits, food processing also has some drawbacks, such as:

- Processed food often contains artificial ingredients.
- A significant amount of resources are spent on making the food appealing, which can lead to overconsumption.
- Processed foods are a major source of added sugar, which is unhealthy.

Goals of Food Processing:

Food technology is a broad field focusing on food production and processing. The main objectives of food processing include:

- Extending the shelf life of food products.
- Preventing contamination of food.
- Facilitating food storage and transportation.
- Converting raw food materials into appealing, sellable products.
- Creating job opportunities for a large number of people.

Methods of Food Processing:

When we look at our morning breakfast cereal, we don't typically picture a pile of raw oats or a sheaf of wheat out in the field. That's because those natural ingredients have been changed via food processing.

Food processing is transforming fresh, raw food into food products that are easily recognized, regularly consumed and loved by all.

Food processing isn't always as complicated as it sounds. It can be as simple as baking a batch of cookies in your kitchen. Or as complex as taking fresh fruit, preparing it to be dried, freeze-drying it, and then packaging it at a food processing plant.

Methods used in food processing include:

- Drying
- Smoking
- Fermentation
- Pickling
- Salting and curing
- Freezing or freeze-drying
- Pasteurization
- Cooking
- Chemical additives to extend shelf life

Several criteria must be met for effective food processing, ranging from preventing pests or bacteria from infesting and multiplying on foods to managing the biological activity of foods. The methods used for proper food processing include:

- Stripping the outer layers of the raw materials.
- Chopping or slicing.
- Grinding.
- Liquefaction.
- Fermentation.
- Emulsification.
- Cooking.
- Mixing.
- Gasification, such as adding gas to bread or soft drinks.

- Proofing.
- Spray drying.
- Pasteurization.
- Packaging.

A business plan for a food processing industry requires thorough research, strategic planning, and clear execution strategies. Below is an outline to guide you in developing a comprehensive business plan:

1. Executive Summary

- Overview of the business concept and vision
- Mission statement
- Brief description of products/services offered
- Target market and competitive advantage
- Summary of financial projections and funding requirements

2. Business Description

- Introduction to the food processing industry and market
- Description of the company's products/services
- Unique selling proposition (USP)
- Legal structure and ownership details
- Location and facilities

3. Market Analysis

- Analysis of current market trends and dynamics in the food processing industry
- Identification of target market segments (demographics, psychographics, behavior)
- Assessment of customer needs and preferences
- Competitive analysis (SWOT analysis of competitors)
- Market size and growth potential

4. Marketing and Sales Strategy

- Branding and positioning strategy
- Marketing channels (online, offline, social media, etc.)
- Pricing strategy (cost-plus, value-based, competitive)
- Sales forecast and projections
- Customer acquisition and retention strategies
- Promotional campaigns and partnerships

5. Operations Plan

- Description of the production process (sourcing, processing, packaging)
- Facilities and equipment required
- Supply chain management (sourcing of raw materials, logistics)
- Quality control measures
- Compliance with regulatory standards (FDA, USDA, etc.)

6. Management and Organization

- Organizational structure and key personnel
- Management team bios and responsibilities
- Staffing requirements and hiring plan
- Employee training and development
- Human resource policies and procedures

7. Financial Plan

- Start-up costs and funding requirements
- Revenue projections (monthly/quarterly/yearly)
- Break-even analysis
- Profit and loss statement
- Cash flow projections
- Balance sheet
- Sources of funding (equity, loans, grants)
- Exit strategy (if applicable)

8. Risk Analysis

- Identification of potential risks and challenges (market, operational, financial)
- Strategies for risk mitigation
- Contingency plans for unforeseen events (market downturn, supply chain disruptions, etc.)

9. Implementation Timeline

- Detailed timeline for the execution of key milestones and activities
- Assignments of responsibilities and deadlines
- Monitoring and evaluation mechanisms to track progress

10. Appendices

- Supporting documents (resumes, permits, licenses, contracts)
- Market research data
- Product samples or prototypes
- Any other relevant information

Time required for completing the project and deadline.

I required 1 week for collecting Information.

Requirements:

Sr. No.	Name of Resource	Specification	Quantity	Remarks
1.	Computer System	i3 RAM 4GB	1	
2.	Microsoft Word	Windows 10, 2010 version	1	
3.	Laptop	Lenovo, RAM 4 GB, Hard disk 1 TB, i3 processor	1	

Idea of project:

Some key objectives of food processing include: Value Addition: One of the primary objectives of food processing is to add value to raw agricultural products. By processing and packaging them, the value of these products increases, making them more marketable and profitable .

Food processing offers important benefits to businesses and consumers, including a more varied food supply and foods with a longer shelf life. Certain aspects of food processing, however, raise concerns over dietary health, worker health, and food safety.

Conclusion:

The scope of the food processing industry in India presents an exciting and promising landscape driven by abundant agricultural resources, changing consumer preferences, and government support. With its diverse food products, advanced technology, and growing export potential, this industry thrives and contributes significantly to the country's economic growth.

By focusing on its objectives of value addition, food safety, and waste reduction, the food processing industry ensures the availability of safe, nutritious, and innovative food products that cater to consumers' diverse tastes and demands. By embracing the rapid technological advancements and sustainable practices, the scope of the food processing industry in India is poised to reach greater heights, becoming a vital player in the global food market.

Name and Sign of Subject Teacher

HOD

